UNITED STATES DISTRICT COURT

EASTERN DISTRICT OF WASHINGTON

JANE ELIZABETH ROBERTS, JON ALLEMAN, MICHELLE ANDREWS, GINGER BENNETT, LANI LAGANOWSKI, INGA MILLER, FRANCISCO OQUENDO, ERIN PALMER, MICHELLE RICHARDSON, PETER SPRINGS, KATHY WOLD, and JULIA ZELEPUKHIN, Plaintiffs, v. SHRINERS HOSPITALS FOR CHILDREN, SHRINERS HOSPITALS FOR CHILDREN – SPOKANE, BEVERLY BOKOVITZ, FRANCES FARLEY, JERRY GANTT, JOHN MCCABE, PHILLIP GRADY, PETER BREWER, and JAY INSLEE, Defendants.	NO. 2:23-CV-0295-TOR ORDER GRANTING DEFENDANT SHRINERS' MOTION TO DISMISS

BEFORE THE COURT is Defendant Shriners Hospitals for Children's Motion to Dismiss (ECF No. 32). This matter was heard without oral argument. The Court has reviewed the record and files herein and is fully informed. For the reasons discussed below, Defendant Shriners' Motion to Dismiss (ECF No. 32) is **GRANTED**.

BACKGROUND

The outbreak of the novel coronavirus SARS-CoV-2 (COVID-19) in early 2020 spawned innumerable challenges to the legality of preventative and remedial measures undertaken by the government, judiciary, and other public and private organizations.[1] This matter, which arises out of a private hospital's implementation of an employee vaccination policy, presents one such case.

[1] *See, e.g.*, *Biden v. Missouri*, 595 U.S. 87, 97 (2022) (per curiam) (staying injunctions which would have halted the implementation of an interim final rule mandating employee vaccinations for facilities participating in Medicare and Medicaid); *see also Alabama Ass'n of Realtors v. Dep't of Health & Hum. Servs.*, 141 S.Ct. 2485, 2486 (2021) (per curiam) (concluding that the CDC exceeded its authority by imposing a temporary moratorium on tenant evictions to slow the spread of COVID-19); *see Democratic Nat'l Comm. v. Wisconsin State Leg.*, 141 S.Ct. 28, 34 (2020) (mem.) (Kavanaugh, J., concurring) (stating that the district

Defendant Shriners Hospitals for Children (Shriners) is a private nonprofit corporation that operates in eastern Washington through its subsidiary, Defendant Shriners Hospitals for Children – Spokane (Shriners Spokane). ECF No. 1 at 7, ¶¶ 19.1-19.2. With the exception of Governor Jay Inslee, the individually named Defendants in this action are all Shriners Spokane employees who exercised policymaking authority over the hospital at the time of the events at issue. *Id.* at 8, ¶¶ 19.3-19.8. Plaintiffs are former employees of Shriners Spokane. *Id.* at 6-7, ¶¶ 18.1-18.12.

On August 9, 2021, Washington State Governor Jay Inslee issued Proclamation 21-14. *See* Proclamation No. 21-14 (Aug. 9, 2021). In general terms, the order barred any entity operating a "Health Care Setting"[2] from continuing to employ a "Health Care Provider"[3] after October 18, 2021, unless the

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court had misapprehended the limited role of the federal judiciary by altering the deadline for absentee voting to accommodate pandemic-related delays).

[2] The Proclamation defines a "Health Care Setting" as "any public or private setting that is primarily used for the delivery of in-person health care services to people." Proclamation No. 21-14 at 6, § (c).

[3] "Health Care Provider[s]" include "[w]orkers in any Health Care Setting." Proclamation No. 21-14 at 6, § 5(b).

employee-provider was "fully vaccinated" against COVID-19 by that date. *Id.* at 4, § 1(d). An employee was considered "fully vaccinated" either (1) two weeks after receiving "the second dose in a two-dose series of a COVID-19 vaccine authorized for emergency use, licensed, or otherwise approved by the FDA" or (2) two weeks after receiving "a single-dose COVID-19 vaccine authorized for emergency use, licensed, or otherwise approved by the FDA." *Id.* at 7, § 5(e).

Pursuant to this authority, administrators at Shriners Spokane circulated a staff-wide email notice on August 11, 2021 stating that employees were required to fully vaccinate against COVID-19 by October 18, 2021. ECF No. 1-6 at 1. The email provided that employees who refused to vaccinate would be subject to dismissal. *Id.* at 3. On September 14, 2021, Shriners adopted a formal organization-wide policy requiring all personnel to vaccinate by December 6, 2021. ECF No. 1-5 at 6. The policy provided that certain exemptions might be granted for medical or religious reasons. *Id.* at 1.

At the time Proclamation 21-14 was issued, the United State Food and Drug Administration (FDA) had approved three COVID-19 vaccines for Emergency Use Authorization (EUA), including Pfizer-BioNTech, a two-part vaccination series.[4]

[4] In considering a motion to dismiss, the Court may take judicial notice of facts "not subject to reasonable dispute," Fed. R. Evid. 201(b), and matters of

See FDA, *FDA Takes Key Action in Fight Against COVID-19 By Issuing Emergency Use Authorization for First COVID-19 Vaccine*, U.S. FOOD & DRUG ADMINISTRATION (Dec. 11, 2020), https://www.fda.gov/news-events/press-announcements/fda-takes-key-action-fight-against-covid-19-issuing-emergency-use-authorization-first-covid-19 [https://perma.cc/2V4A-TNRK]. Under the EUA statute, the FDA may authorize emergency use of a vaccine pending full approval. *See* 21 U.S.C. § 360bbb-3(a)(2).

On August 23, 2021—two weeks after Proclamation 21-14 was issued and one month before Shriners adopted its organization-wide immunization policy—the FDA approved the first COVID-19 vaccine for individuals 16 years of age and older. *See* FDA, *FDA Approves First COVID-19 Vaccine*, U.S. FOOD & DRUG ADMINISTRATION, https://www.fda.gov/news-events/press-announcements/fda-approves-first-covid-19-vaccine [https://perma.cc/4KJS-MBM2]. The agency explained that the approved vaccine "has been known as the Pfizer-BioNTech COVID-19 Vaccine, and will now be marketed as Comirnaty." *Id.* Clinical results showed the vaccine was 91% effective in preventing COVID-19. *Id.* The FDA further announced that the Pfizer-BioNTech and Comirnaty immunizations were

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public record, including the records and reports of administrative bodies, *Lee v. City of Los Angeles*, 250 F.3d 668, 688-89 (9th Cir. 2001) (citation omitted).

composed of "the same formulation" and therefore could "be used interchangeably . . . to provide the COVID-19 vaccination series." ECF No. 34-1 at 2.

Plaintiffs' employment was terminated for refusing to vaccinate against COVID-19 by the Shriners policy deadline.[5] ECF No. 1 at 5, ¶ 8. Plaintiffs assert that they were unlawfully terminated and otherwise sanctioned for refusing an "unlicensed investigational new drug." *Id.* at 75, ¶ 280. Specifically, Plaintiffs maintain that the only FDA licensed drug, Comirnaty, was not available to them by the deadline of Defendants' vaccination policy (December 6, 2021) and that their only alternative option was to immunize using one of the other vaccines, such as Pfizer-BioNTech, which was only provisionally authorized under the EUA. *Id.* Plaintiffs believe that they could not be compelled to vaccinate with formulas only authorized for emergency use. *Id.*

On October 13, 2023, Plaintiffs filed a 104-page complaint against Defendants in this Court. *Id.* The complaint raises six claims under 42 U.S.C. § 1983, including that: (1) Defendants violated the EUA statute; (2) Defendants violated the Equal Protection Clause of the Fourteenth Amendment; (3) Defendants violated the Due Process Clause of the Fourteenth Amendment; (4)

[5] Of the twelve Plaintiffs, only one claimed a medical exemption. ECF No. 1 at 82, ¶ 302. Defendants denied the request. *Id.* at 83, ¶ 303.

Defendants violated the Spending Clause; (5) Defendants violated the unconstitutional conditions doctrine; and (6) Defendants violated the Public Readiness and Emergency Preparedness Act ("PREP") Act. *Id.* at 86-98. Plaintiffs separately allege (7) Defendants breached a contract to which Plaintiffs were a third-party beneficiary; (8) Defendants violated "Washington State common law employment torts"; (9) Defendants committed the tort of outrage; and (10) if the Court does not find that Defendants were engaged in state action under issue (1), then the Court should find that the EUA statute contains an implied right of action. *Id.* at 98-102.

DISCUSSION

Defendant Shriners brings this motion to dismiss on behalf of itself, its subsidiary, and its individual employees. *See* ECF No. 32.[6] The Court grants the motion. The first six claims are dismissed because Defendants are not state actors subject to suit under 42 U.S.C. § 1983. The remaining four claims are dismissed because Plaintiffs have failed to establish any sort of cognizable legal violation.

I. Rule 12(b)(6) Standard

A motion to dismiss for failure to state a claim under Rule 12(b)(6) "tests the

[6] A separate motion to dismiss by Governor Inslee is pending before the Court. *See* ECF No. 36.

legal sufficiency" of a plaintiff's claims. *Navarro v. Block*, 250 F.3d 729, 732 (9th Cir. 2001); *see also* Fed. R. Civ. P. 12(b)(6) (allowing defendants to bring a motion to dismiss for "failure to state a claim upon which relief can be granted"). To withstand a motion to dismiss, a complaint must "contain enough facts to state a claim to relief that is plausible on its face." *Bell Atl. Corp. v. Twombly*, 550 U.S. 544, 570 (2007). "A claim has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged." *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009) (citation omitted). This requires the plaintiff to provide "more than labels and conclusions, and a formulaic recitation of the elements." *Twombly*, 550 U.S. at 550. While a plaintiff need not establish a probability of success on the merits, he must demonstrate "more than a sheer possibility that a defendant has acted unlawfully." *Iqbal*, 556 U.S. at 678.

When determining whether a claim has been stated, the Court may consider the "complaint, materials incorporated into the complaint by reference, and matters of which the court may take judicial notice." *Metzler Inv. GMBH v. Corinthian Colls., Inc.*, 540 F.3d 1049, 1061 (9th Cir. 2008) (citing *Tellabs, Inc. v. Makor Issues & Rights, Ltd.*, 551 U.S. 308, 322 (2007)). A complaint must contain "a short and plain statement of the claim showing that the pleader is entitled to relief." Fed. R. Civ. P. 8(a)(2). A plaintiff's "allegations of material fact are taken as true

and construed in the light most favorable to the plaintiff[,]" but "conclusory allegations of law and unwarranted inferences are insufficient to defeat a motion to dismiss for failure to state a claim." *In re Stac Elecs. Secs. Litig.*, 89 F.3d 1399, 1403 (9th Cir. 1996) (citation and brackets omitted).

In assessing whether Rule 8(a)(2) is satisfied, the court must first identify the elements of the plaintiff's claims and then determine whether those elements could be proven by the facts pled. The court may disregard allegations contradicted by matters properly subject to judicial notice or by exhibit. *Sprewell v. Golden State Warriors*, 266 F.3d 979, 988 (9th Cir. 2001). The court may also disregard conclusory allegations and arguments which are unsupported by reasonable deductions and inferences. *Id.* A claim may only be dismissed if "it appears beyond doubt that the plaintiff can prove no set of facts in support of his claim which would entitle him to relief." *Navarro*, 250 F.3d at 732.

II. 42 U.S.C. § 1983 Claims

Plaintiffs bring multiple constitutional and statutory claims under 42 U.S.C. § 1983. To stake a claim under § 1983, Plaintiffs must allege the Defendants "act[ed] under color of state law" to deprive Plaintiffs of a federal right. *West v. Atkins*, 487 U.S. 42, 48 (1988); *see also Anderson v. Warner*, 451 F.3d 1063, 1067 (9th Cir. 2006) ("'The purpose of § 1983 is to deter state actors from using the badge of their authority to deprive individuals of their federally guaranteed

rights.'") (quoting *McDade v. West*, 223 F.3d 1135, 1139 (9th Cir. 2000). In determining whether there has been state action, the fundamental inquiry is whether "the conduct allegedly causing the deprivation of a federal right [is] fairly attributable to the State." *Lugar v. Edmonson Oil Co., Inc.*, 457 U.S. 922, 937 (1982); *see also Caviness v. Horizon Cmty. Learning Ctr., Inc.*, 590 F.3d 806, 812 (9th Cir. 2010) ("The state-action element in § 1983 'excludes from its reach merely private conduct, no matter how discriminatory or wrongful.'") (quoting *Am. Mfrs. Mut. Ins. Co. v. Sullivan*, 526 U.S. 40, 50 (1999)). A two-part test applies to determine whether the conduct may be fairly attributed to the State, and a plaintiff must satisfy both elements. *Lugar*, 457 U.S. at 922. "First, the deprivation must be caused by the exercise of some right or privilege created by the State or by a rule of conduct imposed by the state or by a person for whom the State is responsible." *Id.* "Second, the party charged with the deprivation must be a person who may fairly be said to be a state actor." *Id.* "The state actor requirement ensures that not all private parties 'face constitutional litigation whenever they seek to rely on some state rule governing their interactions with the community surrounding them.'" *Collins v. Womancare*, 878 F.2d 1145, 1151 (9th Cir. 1989).

The parties here dispute the second prong of the *Lugar* test: whether the Shriners Defendants, as private parties, may be fairly characterized as state actors.

See ECF Nos. 32 at 25-30; 34 at 7-29. Courts generally begin with the presumption that private parties are not state actors. *Sutton v. Providence St. Joseph Med. Ctr.*, 192 F.3d 826, 835 (9th Cir. 1999). The Supreme Court has approved four different tests to be used in determining whether a private party is a state actor: "the public function test, the joint action test, the state compulsion test, and the governmental nexus test." *Wright v. Serv. Emps. Int'l Union Local 503*, 48 F. 4th 1112, 1122 (9th Cir. 2022). "Satisfaction of a single test is sufficient to establish state action, so long as there is no countervailing factor." *Ochoa v. Pub. Consulting Grp., Inc.*, 48 F.4th 1102, 1109 (9th Cir. 2022); *see also Lugar*, 457 U.S. at 939 ("Whether these different tests are actually different in operation or simply different ways of characterizing the necessarily fact-bound inquiry that confronts the Court . . . need not be resolved here."). The Court finds that Defendants are not state actors under any articulation of that standard.

A. Specific Conduct

As a prerequisite to completing a state action analysis under any of the four tests, the court must first identify the specific conduct which the plaintiff complains of as constituting state action. *Caviness*, 590 F.3d at 812 ("It is important to identify the function at issue because an entity may be a State actor for some purposes but not for others.") (quoting *Lee v. Katz*, 276 F.3d 550, 555 n.5 (9th Cir. 2002)). The question presented by the complaint is whether Defendants,

as private employers and policymakers, were engaged in state action when they adopted a policy requiring employees to receive a COVID-19 vaccine while allegedly knowing that the only available formulation to employees was only provisionally authorized under the EUA. *See* ECF No. 1 at 1-2.

B. Public Function

Plaintiffs assert that Defendants are state actors under the public function test. ECF No. 1 at 73. Private individuals or entities meet the public function test when they "are endowed by the State with powers or functions governmental in nature," thereby rendering them "agencies or instrumentalities of the State and subject to its constitutional limitations." *Lee*, 276 F.3d at 554-55 (quoting *Evans v. Newton*, 382 U.S. 296, 299 (1966)). "[T]he function at issue must be both traditionally and exclusively governmental." *Id.* at 555 (citing *Rendell-Baker v. Kohn*, 457 U.S. 830, 842 (1982)). "The test is difficult to meet." *Prager Univ. v. Google LLC*, 951 F.3d 991, 997 (9th Cir. 2020); *see also Manhattan Comm. Access Corp. v. Halleck*, 587 U.S. ----, 139 S.Ct. 1921, 1929 (2019) ("The Court has stressed that 'very few' functions fall into that category."). "The lean list of the very few recognized public functions includes running elections, operating a company town, and not much else." *Prager Univ.*, 951 F.3d at 998 (internal quotations and citations omitted).

Plaintiffs assert that the State traditionally and exclusively (1) licenses healthcare facilities and employees; (2) sets licensing requirements; (3) manages emergency declarations; and (4) determines "how the public function of distributing the federal government's COVID-19 EUA drug property" will be exercised. ECF No. 34 at 18. Plaintiffs also argue that (5) Defendants assumed a public function by administering COVID-19 vaccinations to the public and enacting an employee vaccination policy in accordance with Proclamation 21-14 and (6) Defendants assumed a public function by entering into the CDC COVID-19 Vaccination Program. ECF No. 1 at 72-73, ¶ 276 n.94.[7]

Even crediting Plaintiffs' arguments that issuing medical facility and healthcare worker licenses, pronouncing emergency declarations, and making decisions on how to distribute vaccinations and which facilities could participate in

[7] The "CDC COVID-19 Vaccination Program Provider Agreement" that Plaintiffs refer to is an agreement that Defendants allegedly entered into with the Center for Disease Control (CDC). *See* ECF No. 1-1 (attaching a blank copy). Among other things, parties to the Provider Agreement contract to record vaccine administration data, provide EUA fact sheets to vaccine recipients, comply with vaccine storage and handling conditions, report abnormal vaccination, and follow all other applicable legal requirements. *Id.* at 2-3.

that program constitutes state action, Plaintiffs have not pled any set of facts which demonstrates that Defendants undertook those public functions by adopting an employee vaccination policy. *See generally* ECF No. 1. There is simply no reliable evidence that Defendants' issuance of the employee vaccination policy or administration of vaccines to the public gave them any power over medical licensing, emergency declaration management, or the rules and conditions for the distribution of the federal government's COVID-19 property.

As to the first part of Plaintiffs' fifth contention, the issue of whether Defendants lawfully administered vaccinations to the public is attenuated from the specific conduct in issue, *i.e.*, whether Plaintiffs were illegally terminated for refusing a vaccination. The second part of Plaintiffs' argument—that the hospital assumed a public function by complying with emergency orders—is equally untenable. Relevant authority instructs that a private employer's compliance with a government mandate does not constitute state action. *See, e.g.*, *Sutton*, 192 F.3d at 839 ("[W]e do not believe that . . . government compulsion in the form of a general statute, without more, is sufficient to transform every private entity that follows the statute into a governmental actor."); *see also Zimmerman v. PeaceHealth*, --- F. Supp. 3d ----, No. 3:22-cv-05960, 2023 WL 7413650, at *12 (W.D. Wash. Nov. 9, 2023) ("A private entity's compliance with . . . federal and state COVID-19 mandates does not constitute state action.").

Plaintiffs respond by disputing the lawfulness of Proclamation 21-14, arguing that it could not be legally implemented while only EUA versions of the vaccine were available to employees. To the contrary, multiple courts in the Ninth Circuit have determined that because the emergency-authorized Pfizer-BioNTech vaccine and the FDA-approved Comirnaty vaccine were "physically, chemically, and biologically identical," the Pfizer-BioNTech vaccine was effectively FDA approved and was not an "experimental" drug under the EUA statute or PREP Act. *Johnson v. Brown*, 567 F Supp. 3d 1230, 1247 (D. Or. 2021); *Curtis v. Inslee*, --- F. Supp. 3d ----, 2023 WL 8828752 at *2 (W.D. Wash. Dec. 21, 2023). Therefore, Plaintiffs' claims that Defendants' vaccination policy was unlawful because an FDA-approved vaccine was unavailable falls short. Regardless, however, there is no authority that supports the proposition that a private party transforms into a state actor when the private party follows a government mandate later found to be unconstitutional. *See Sutton*, 192 F.3d at 839 (rejecting the contention that private entities should be responsible for defending laws resulting in the deprivation of rights); *Collins*, 878 F.2d at 1151 (declaring that private parties should not face constitutional litigation when they rely on a state rule).

Finally, Plaintiffs' sixth contention fails for similar reasons as its fifth argument. A private party's participation in a government program, such as the CDC Provider Agreement, does not convert that party into a state actor. *See*

Rendell-Baker, 457 U.S. at 842 (a "legislative policy choice in no way makes [government] services the exclusive province of the State"); *Kitchens v. Bowen*, 825 F.2d 1337, 1339-40 (9th Cir. 1987) (no state action found where receipt of federal funds was conditioned on compliance with regulatory program). Accordingly, the Court finds that Defendants were not engaged in a "public function" sufficient to convert their enforcement of an employment policy into state action.

C. Joint Action

Plaintiff alternatively allege Defendants were engaged in "joint action" with the State. ECF Nos. 1 at 73; 34 at 21. Under the "joint action" or "symbiotic relationship" test, the court will inquire "'whether the government has so far insinuated itself into a position of interdependence with a private entity that the private entity must be recognized as a joint participant in the challenged activity.'" *Pasadena Republican Club v. W. Just. Ctr.*, 985 F.3d 1161, 1167 (quoting *Brunette v. Humane Soc'y of Ventura Cnty.*, 294 F.3d 1205, 1210 (9th Cir. 2002)). Joint participation "occurs when the state knowingly accepts the benefits derived from unconstitutional behavior." *Kirtley v. Rainey*, 326 F.3d 1088, 1093 (9th Cir. 2003) (internal quotations and citations omitted). A key factor is whether the State stood to financially gain from the alleged intertwinement. *Brunette*, 294 F.3d at 1213 ("Often significant financial integration indicates a symbiotic relationship."); *see*

also, e.g., *Burton v. Wilmington Parking Auth.*, 365 U.S. 715 (1961) (seminal "joint action" case, finding state action on behalf of a private restaurant that leased space in a public parking lot building and refused to allow African-American patrons to enter the establishment, where discrimination was profitable to both the agency and the restaurant). Alternatively, a plaintiff may establish joint action "'by proving the existence of a conspiracy'" between the State and the private party. *O'Handley v. Weber*, 62 F.4th 1145, 1159 (9th Cir. 2023) (quoting *Tsao v. Desert Palace, Inc.*, 698 F.3d 1128, 1140 (9th Cir. 2012)); *see also Brunette*, 294 F.3d at 1211 ("A conspiracy between the State and a private party to violate another's constitutional rights may also satisfy the joint action test.").

Again, Plaintiffs' claims fail here because the specific conduct complained of—whether Plaintiffs were unlawfully terminated for refusing to vaccinate using Pfizer-BioNTech or some other EUA-approved formula —was merely Defendants' fulfillment of a generally applicable law (Proclamation 21-14). *See Zimmerman*, 2023 WL 7413650, at *13. Moreover, the specific conduct in issue is untethered to Plaintiffs' claims of financial integration. Plaintiffs urge that the financial element of the joint action test is satisfied because Defendants "administered the COVID-19 Program on behalf of the State to share in the Program's cash flow benefiting the State and Defendants." ECF No. 34 at 21. Even assuming this to be true, it does not follow that Defendants or the State stood to gain any financial benefit by

Defendants enacting an employee vaccination policy—the alleged financial benefit of the CDC Program Provider Agreement was that it authorized and supplemented Defendants' *public administration* of vaccinations, not that it had anything to do with Defendants' private employment policy. *Compare, e.g.*, *Burton*, 365 U.S. at 724 ("Neither can it be ignored . . . that profits earned by discrimination [against black patrons] not only contribute to, but also are indispensable elements in, the financial success of [the] governmental agency."). There is no evidence that Defendants or the State profited by terminating Plaintiffs' employment in accordance with a lawful employment policy. As such, the Court finds that Plaintiffs have not satisfied the joint action test.

D. State Compulsion & Government Nexus

The Court considers the state compulsion and government nexus tests together. *See Naoko Ohno v. Yuko Yasuma*, 723 F.3d 984, 995 n.13 (9th Cir. 2013) (noting the public function and joint action tests "largely subsume the state compulsion and governmental nexus tests, because they address the degree to which the state is intertwined with the private actor or action"); *see also Kirtley*, 326 F.3d at 1094 (characterizing the governmental nexus test as "[a]rguably the most vague of the four approaches").

Under the state compulsion test, state action exists "were the state 'has exercised coercive power or has provided such significant encouragement, either

overt or covert, that the private actor's choice must in law be deemed to be that of the State.'" *Johnson v. Knowles*, 113 F.3d 1114, 1119 (9th Cir. 1997) (quoting *Blum v. Yaretsky*, 457 U.S. 991, 1004 (1982)). Once again, however, courts will not "convert every employer . . . into a government actor every time it complies with a presumptively valid, generally applicable law." *Sutton*, 192 F.3d at 838. Moreover, even where government compulsion is identifiable, there must be "some additional nexus that [makes] it fair to deem the private entity a governmental actor in the circumstances." *Id.* at 839. "Typically, the nexus has consisted of participation by the state in an action ostensibly taken by the private entity, through conspiratorial agreement, official cooperation with the private entity to achieve the private entity's goal, or enforcement and ratification of the private entity's chosen action." *Id.* at 841 (citations omitted). Similarly, under the governmental nexus tests, courts ask whether "there is such a 'close nexus between the State and the challenged action' that seemingly private behavior 'may be fairly treated as that of the State.'" *Brentwood Acad. v. Tenn. Secondary Sch. Athletic Ass'n*, 531 U.S. 288, 295 (2001) (quoting *Jackson v. Metro. Edison Co.*, 419 U.S. 345, 351 (1974)).

Plaintiffs complain that compulsion exists because "[t]he State issued a mandate impacting Plaintiffs' employment." ECF No. 1 at 73, n.95. In their responsive briefing, Plaintiffs further argue that Defendants and Governor Inslee "established and enforced a state custom whereby a person's EUA and PREP Act

statutory rights to refuse the federal property could be ignored 'as if' they did not exist and that they could be treated differently under the Fourteenth Amendment than persons choosing the option to accept the administration of the federal property." ECF No. 34 at 27.

As stated, a plaintiff cannot successfully establish state action where the defendant was merely complying with a generally applicable state law. *Sutton*, 192 F.3d at 838-39. Even if Plaintiffs could satisfy the element of compulsion, however, Plaintiffs have not alleged a sufficient governmental nexus. As Defendants point out, "a private actor cannot take part in the development of a custom while simultaneously being compelled by that custom as though it has 'the force of law.'" ECF No. 37 at 13 (citing *Adickes v. S.H. Kress & Co.*, 398 U.S. 144, 163 (1970)).

Recent authority from the U.S. District Court for the Western District of Washington bolsters the finding that Plaintiffs were not engaged in state action. In *Curtis v. PeaceHealth*, Plaintiffs' counsel here brought a nearly identical complaint on behalf of a similarly situated group of claimants whose employment had been terminated for failing to comply with their employer's COVID-19 vaccination policy. No. 3:23-cv-05741-RJB, 2024 WL 248719, at *2-5 (W.D. Wash. Jan. 23, 2024). The court there rejected the plaintiffs' claims that they were state actors under any of the four tests, explaining that "[t]he conduct of which Plaintiffs

complain was merely PeaceHealth's compliance with a generally applicable law – Gov. Inslee's Proclamation." *Id.* at *5. The Court finds the reasoning in *Curtis* compelling and adopts the same conclusion here. Plaintiffs have failed to demonstrate that Defendants were state actors under any of the four tests. The Court therefore declines to reach the substantive merits of Plaintiffs' § 1983 claims. *See Sullivan*, 526 U.S. 40 (state action required to prevail on a § 1983 claim).

III. Implied Right of Action Under the EUA

As an alternative to suing under § 1983 for alleged violations of the EUA, Plaintiffs assert that the EUA statute, 21 U.S.C. § 360bbb-3, contains an implied right of action. ECF No. 1 at 102, ¶¶ 407-409.

Federal courts around the country, including in Washington State, have uniformly rejected the contention that the EUA statute contains any implied right of action. *See, e.g.*, *Curtis*, 2024 WL 248719 at *7 (holding that "no private right of action should be implied for 21 U.S.C. § 360bbb-3(e)(1)(A)" and that because plaintiffs could have received an FDA-authorized vaccine via Pfizer-BioNTech, the EUA statute was not applicable in the first instance to the employer's enforcement of the vaccine policy); *accord Bird v. Martinez-Ellis*, No. 22-8012, 2022 WL 17973581 at *5, (10th Cir. Dec. 28, 2022) (unreported). *See also, e.g.*, *Bridges v. Houston Methodist Hosp.*, 543 F. Supp. 3d 525, 527 (S.D. Tex. 2021)

(holding that the EUA "confers certain powers and responsibilities to the Secretary of Health and Human Services in an emergency" but "does not confer a private opportunity to sue the government, employer, or worker"); *see also, e.g.*, *Kiss v. Best Buy Stores*, 3:22-cv-00281-SB, 2022 WL 17480936 (D. Or. Dec. 6, 2022) ("Even if [plaintiff] could adequately plead state action, courts have consistently held that the [EUA statute] provides no private right of action.").

The Court agrees with the weight of authority holding that the EUA statute does not contain an implied right of action. Plaintiffs have not offered any contradicting sources or compelling analysis that convinces the Court otherwise.

IV. Breach of Contract

Plaintiffs separately assert that Defendants breached the CDC COVID-19 Provider Agreement, claiming that they were third-party beneficiaries to the contract. *See* ECF Nos. 1 at 98-99, ¶¶ 385-88; 34 at 52-53. Plaintiffs believe the agreement was designed to protect potential recipients of COVID-19 vaccinations and that "the applicable laws provide third-party rights," including the right to refuse emergency authorized inoculation "without penalty." ECF No. 34 at 52.

Plaintiffs' claim for breach of contract is legally deficient because Plaintiffs have not pled a set of facts which establish that Plaintiffs were the intended third-party beneficiaries of the agreement. "The creation of a third-party beneficiary contract requires that the parties intend that the promisor assume a *direct*

obligation to the intended beneficiary at the time they enter into the contract." *Postlewait Const., Inc. v. Great Am. Ins. Cos.*, 41 Wash. App. 763, 765 (1985), *aff'd*, 106 Wash. 2d 96 (1986) (citation omitted) (emphasis in original). The court is to evaluate the parties' intent objectively, asking whether performance "necessarily and directly benefits the third party." *Warner v. Design & Build Homes, Inc.*, 128 Wash. App. 34, 43 (2005). "An incidental, indirect, or inconsequential benefit to a third party is insufficient to demonstrate an intent to create a [third-party beneficiary]." *Id.* (citing *Del Guzzi Const. Co., Inc. v. Glob. Nw., Ltd., Inc.*, 105 Wash.2d 878, 886 (1986)); *see also Klamath Water Users Protective Ass'n v. Patterson*, 204 F.3d 1206, 1211 (9th Cir. 1999) ("Parties that benefit from a government contract are generally assumed to be incidental beneficiaries, and may not enforce the contract absent a clear intent to the contrary.").

Plaintiffs did not offer a signed copy of the alleged contract between Defendants and the CDC, *see* ECF No. 1-1 (attaching a blank copy), but since Defendants do not refute that Shriners entered into the Provider Agreement, the Court accepts the form copy as representative of the agreement that Defendants executed. The agreement supplies that it is "between [the] Organization and CDC," as "a part of collaboration under the relevant state['s] cooperative agreement with CDC." *Id.* at 2. In general terms, the contract sets out various

requirements for the administration of COVID-19 vaccines by the contracting facility, including, among other requirements, that the organization must comply with all requirements set forth by the FDA and EUA. *Id.* at 3.

Plaintiffs have not shown their claim has any facial plausibility under the facts alleged. The Provider Agreement is concerned with vaccine administration and, by all counts, Plaintiffs declined to receive a COVID-19 vaccination. Thus, even if the Court were to accept that recipients of COVID-19 vaccinations were the intended third-party beneficiaries who the parties contracted to protect, that would have no bearing on Plaintiffs' claims of unlawful termination because Plaintiffs refused vaccination. At best, any benefit to Plaintiffs resulting from this agreement was purely indirect or incidental. Moreover, the alleged breach of contract that Plaintiffs complain of did not in fact occur because an FDA-authorized vaccine—Pfizer-BioNTech—was available to Plaintiffs at the time the employment policy was in place. The Court therefore finds that Plaintiffs have not stated a claim for breach of contract.

V. Employment Law Torts

Plaintiffs seek damages for "Washington State Common Law Employment Torts." ECF No. 1 at 99-101. The complaint makes several broad allegations under this heading, including that "Defendants lacked authority to condition [Plaintiffs'] employment" upon their participation in EUA or PREP Act measures;

that Defendants created a "hostile work environment"; that Defendants placed Plaintiffs under moral duress; that Defendants coerced Plaintiffs; that Defendants discriminated against Plaintiffs; and that Plaintiffs "did not knowingly submit to the deprivation of labor, wages, or employment" in declining the vaccine. *Id.* at 99-100, ¶¶ 391, 393-98, 401. When pressed by Defendants in their motion to dismiss, ECF No. 32, on which precise "employment torts" were in issue, Plaintiffs merely countered, "Plaintiffs stated the claim and provided case law to support the claim . . . Shriners Policy Makers enacted the vaccination policy, authorized persons to enforce the policy, and the policy was the basis for Plaintiffs being deprived of their rights." ECF No. 34 at 53.

The Court declines to decode these conclusory allegations and translate them into a cognizable tort claim on Plaintiffs' behalf. Under Rule 8, it is Plaintiffs' burden to include "a short and plain statement of the claim showing that the pleader is entitled to relief." Fed. R. Civ. P. 8(a)(2). Plaintiffs have not established which employment torts claims are in issue, and the Court will not engage in guesswork on their behalf. *See Bell Atl. Corp.*, 550 U.S. at 555 (a complaint must offer "more than labels and conclusions").

VI. Outrage

Plaintiffs assert that Defendants committed the tort of outrage by "apply[ing] consequences to Plaintiffs refusing to participate in the use of COVID-19

investigational drugs" and "engag[ing] in a scorched earth policy and inflict[ing] with malicious intent severe emotional distress." ECF No. 1 at 101, ¶ 404.

To establish a claim for outrage, a plaintiff must allege facts demonstrating (1) extreme and outrageous conduct; (2) intentional or reckless infliction of emotional distress; and (3) actual result to the plaintiff of severe emotional distress. *Stansfield v. Douglas Cnty.*, 107 Wash. App. 1, 15 (2001). The first element requires conduct "'so outrageous in character, and so extreme in degree, as to go beyond all possible bounds of decency, and to be regarded as atrocious, and utterly intolerable in a civilized community.'" *Reyes v. Yakima Health Dist.*, 191 Wash.2d 79, 91 (2018) (quoting Restatement (Second) of Torts § 46 cmt. d (Am. Law Inst. 1965)). A "high burden" applies to claims of outrage. *Lyons v. U.S. Bank Nat'l Ass'n*, 181 Wash.2d 775, 792 (2014).

Defendants' enactment and enforcement of their employment policy was in accordance with a lawful vaccination requirement (Proclamation 21-14). Plaintiffs therefore cannot establish that Defendants' lawful behavior was extreme, outrageous, or otherwise intolerable. *See, e.g.*, *Marse v. Quality Food Ctrs., Inc.*, 133 Wash. App. 1048, 2006 WL 1914644 at *3 (2006) (Plaintiff could not prevail on outrage claim where employer criticized her hygiene because the comments related to plaintiff's compliance with her employment obligations). Even if matters were otherwise, Plaintiffs have not stated facts which show that the policy

was enacted to intentionally or recklessly inflict emotional distress on employees, or that it in fact caused Plaintiffs severe emotional distress. Accordingly, Plaintiffs' claim for outrage is dismissed.

ACCORDINGLY, IT IS HEREBY ORDERED:

1. Defendant Shriners' Motion to Dismiss (ECF No. 32) is **GRANTED**.
2. Plaintiffs' claims against Defendants Shriners Hospitals for Children, Shriners Hospitals for Children – Spokane, Beverly Bokovitz, Frances Farley, Jerry Gantt, John McCabe, Phillip Grady, and Peter Brewer are **DISMISSED WITH PREJUDICE**. The claims against Governor Jay Inslee remain.

The District Court Executive is directed to enter this Order and furnish copies to counsel. The file remains **OPEN**.

DATED February 8, 2024.

THOMAS O. RICE
United States District Judge